

Regulatory sandbox for AI

As part of the government's digitization strategy, the Danish Digital Agency and the Danish Data Protection Authority have established a regulatory sandbox for AI, where companies and authorities can access relevant expertise and guidance in the GDPR and the AI Regulation when developing or using AI solutions.

- › 1. What is the regulatory sandbox?
- › 2. What does a sandbox course consist of?
- › 3. Who can apply to participate in the sandbox, and how do you apply?
- › 4. How are applications assessed and selected?
- › 5. What is the process if your project is selected?
- › 6. Communication, publicity and confidentiality

What is the regulatory sandbox?

Artificial intelligence (hereinafter 'AI') is constantly and rapidly evolving. The technology is becoming increasingly widespread and continuously creating new opportunities for solving societal challenges and conducting business. However, it can be a challenge for companies, authorities and other organizations to navigate what is permitted within the regulatory framework – and where the boundaries are in connection with the development and use of AI solutions.

Therefore, the Danish Data Protection Agency and the Danish Digital Agency have established a regulatory sandbox for AI projects, where companies and authorities can get free access to relevant expertise and guidance in GDPR and risk classification according to the AI Regulation.

The sandbox aims to support innovation and responsible use of AI solutions by offering participants project- and practice-specific guidance on the specific regulatory framework for the AI project. The sandbox thus contributes to ensuring responsible and legal use of AI solutions.

The aim is also to reduce the time from development to operation and reduce the risk of projects being delayed or abandoned due to uncertainty about regulatory requirements.

The sandbox functions as a single entry point where companies and authorities can get free access to relevant expertise and guidance in GDPR and risk classification according to the AI Regulation.

It is possible to receive practical guidance on data protection regulations (including GDPR and the Data Protection Act), which contain a number of general principles and requirements for the processing of personal data that also apply to the development and use of AI. In addition, project-specific guidance can be provided on risk classification according to the AI Regulation.

If it is assessed that input from other relevant authorities is needed, the Danish Data Protection Agency and the Danish Digital Agency will strive to involve them to the extent possible and relevant.

Involvement of other authorities can be done for the purpose of guidance on sectoral legislation with interfaces to the data protection rules and the AI Regulation – for example, the Health Act, social legislation and employment legislation, etc. This can be done, for example, by inviting selected authorities to participate in a guidance meeting or by obtaining written guidance material.

However, the Danish Data Protection Agency and the Danish Digital Agency cannot guarantee that such input can be obtained during or immediately following the sandbox process.

What does a sandbox course consist of?

A sandbox process may include:

- Assistance in conducting data protection impact assessments (DPIA)
- Provide input for legal solutions to specific data protection challenges
- Exploring options for implementing data protection by design
- Help with assessing and balancing legitimate interests
- Assistance in assessing and managing risks for data subjects

- Help with identifying other data protection law challenges
- Help with risk classification of an AI solution

The length of a sandbox course depends on the specific project. A course will generally last up to four months, but can also be shorter. An introductory meeting is held prior to the course, where specific issues, content, length of the course, etc. are discussed.

After a sandbox process is completed, the lessons learned from the process will be shared with the public so that others can benefit from them. This will be done in the form of a final report. Sandbox participants will thus serve as role models for other companies, authorities and organizations with similar AI ambitions.

[Back to the top.](#)

What can you gain from participating in a sandbox course?



What doesn't come with a sandbox course?



Who can apply to participate in the sandbox, and how do you apply?

Who can apply to participate in the sandbox?

The sandbox is targeted at companies and authorities that develop or use AI solutions that process personal data and/or are covered by the AI Regulation.

All types of companies, authorities and other organizations can apply to participate in a sandbox process. It is also possible to apply in collaboration with other actors.

It is important that the project is sufficiently mature that specific regulatory challenges have been identified and that initial considerations have been made about possible solutions.

Participation requires that sufficient time and resources are allocated for both meetings and the ongoing work between meetings. This includes, among other things, that all project participants participate in the meetings and allocate time to drive the work forward, including sufficient time for preparation.

What are the application criteria?

To be considered for a sandbox process, the AI project must meet a number of application criteria:

- 1) Be relevant to Danish society 
- 2) Involve the use of AI 
- 3) Be covered by the AI Regulation and/or involve the processing of personal data 
- 4) Include providers or potential providers 

How do you apply?

If the application criteria are met, it is possible to apply for participation in a sandbox course. Applications are submitted by completing the application form, which can be found here: [Application form \(/media/okyks2m4/ansoegningsskema-den-regulatoriske-aisandkasse-f2141382022138577443.docx\)](/media/okyks2m4/ansoegningsskema-den-regulatoriske-aisandkasse-f2141382022138577443.docx)

The completed application form must be sent to sandkasse@datatilsynet.dk and sandkasse@digst.dk before the application deadline.

The deadline for this application round is before the end of May 1, 2026.

Once the application deadline has expired, the applications received will be assessed. It is a prerequisite that the applications relate to the development or use of AI solutions and that challenges have been identified in relation to applicable regulatory requirements.

[Back to the top.](#)

How are applications assessed and selected?

Applications are assessed based on the following criteria:

- 1) Social significance 

2) Innovation



3) Potential for benefit from a sandbox process



4) Maturity and economic feasibility



5) Benefits of other actors



How are applicants selected?

The Danish Data Protection Authority and the Danish Digital Agency assess the applications based on the above-mentioned selection criteria and select a number of applicants who are invited to a meeting for further clarification.

The selected applicants may be asked to submit additional information or prepare a presentation for the meeting.

Based on the clarification meetings held, the applicants are selected and offered a sandbox course.

[Back to the top.](#)

What is the process if your project is selected?

When an AI project is selected, the Danish Data Protection Agency and the Danish Digital Agency contact the selected applicant with a view to agreeing when work on the project plan for the sandbox process will begin.

A sandbox process begins with an introductory meeting, where the participant and the authorities agree on the content and outcome of the process. In this connection, the parties prepare a project plan for the specific process. The introductory meeting is expected to be held in June 2026.

At the meeting, the participant and the authorities discuss, among other things:

- development or use of the AI solution
- understanding of data protection in relation to the project
- identified regulatory challenges
- need for guidance

- expectations for the collaboration
- goals for the sandbox process
- relevant themes for the process
- the specific project plan
- possible number of follow-up meetings

[Back to the top.](#)

Course content



If changes occur along the way



Communication, publicity and confidentiality

The Danish Data Protection Agency and the Danish Digital Agency place importance on selecting projects where the knowledge acquired through the project process in collaboration with the participating company or authority has the greatest possible useful value for society.

After completion of the process, a final report will be prepared and published, summarizing the experiences.

The Danish Data Protection Agency and the Danish Digital Agency are, as public authorities, subject to the Freedom of Information Act. Access to documents in cases can therefore be requested. However, certain information is exempt, including information about technical devices, procedures and operational or business conditions.

If access to documents is requested in a case and information is included that may need to be exempted, comments will be sought before a decision is made.

Employees at the Danish Data Protection Agency and the Danish Digital Agency are subject to a duty of confidentiality in relation to confidential information.

[Back to the top.](#)

Application for participation in the sandbox

The deadline to apply to participate in the sandbox is before the end of May 1, 2026.

Application for participation in the sandbox

Download [the application form \(/media/okyks2m4/ansoegningsskema-den-regulatoriske-aisandkasse-f2141382022138577443.docx\)](/media/okyks2m4/ansoegningsskema-den-regulatoriske-aisandkasse-f2141382022138577443.docx)

Contact

aia@digst.dk

